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Leder Folio column (L.F.): The page number of ledger in which the accounts debited and credited are maintained is recorded here. Folio means page and ledger folio means page number of ledger. This L.F. helps in cross verification of accounts in the ledger and helps in audit of accounts.

Debit column: The amount to be debited is recorded in this column. The unit of measurement, that is, amount expressed in the currency of the country is recorded in this column. For example, in India amount is recorded in rupees (`).

Credit column: The amount to be credited is recorded in this column. The unit of measurement, that is, the currency of the country is written in this column. For example, in India amount is recorded in rupees (`).

Narration: A short description of each transaction is written under each entry which is called narration.

Tutorial note

(i) While entering the date, the year may be written at the top, then the month and then the particular date.

(ii) The narration must be simple and complete. The words 'Being' or 'For' may also be prefixed before the narration.

(iii) It is customary to write 'Dr' and 'To' in the journal entries.

(iv) L.F. column is filled when the transaction is posted to the ledger. In computerised accounting, it is the reference number.

(v) The amount columns of a journal may be totalled at the end of the each page and the grand total may be given at the end of the month.

(vi) To show each journal entry separately, a line may be drawn after narration in particulars column.

(vii) When transactions of similar nature take place on the same date, they may be combined while they are journalised.

3.8.3 Steps in journalising

The process of analysing the business transactions under the heads of debit and credit and recording them in the journal is called journalising. An entry made in the journal is called a journal entry. The following steps are followed in journalising:

(1) Analyse the transactions and identify the accounts (based on aspects) which are involved in the transaction.

(2) Classify the above accounts under Personal account, Real account or Nominal account

(3) Apply the rules of debit and credit for the above two accounts.

(4) Find which account is to be debited and which account is to be credited by the application of rules of double entry system